element can't be removed from commerce. Customers, employees, and counterparties must all be managed. Furthermore, the world often presents challenges for which there is no textbook answer, and individuals must exercise their judgment to develop custom solutions. Capitalism is competitive, and many businesses find their firms under attack. Fending off threats takes intelligence, creativity, and skill. Leadership matters. Some CEOs—such as David Rosenberg—are more talented than others. The management of companies is not unlike compound interest, where small differentials in rates of return eventually yield vastly disparate outcomes. The gap between what a capable executive team and an incompetent one achieve might be barely discernible in the short term, but in the long run talented managers soar, average ones muddle along, and the worst drive their companies off the cliff. Determining the good from the bad, however, is not easy. Someone who's risen to the top of the corporate ladder surely possesses political and oratorical skills even if she or he isn't a superstar. Aware of what investors want to hear, corporate managers tend to craft their words and presentations to resonate with their audience. Despite sounding polished, the pronouncements from public companies rarely reflect the unvarnished opinions of its executives. This obscures management's true thoughts and makes it hard for outside investors to correctly judge and trust them.

One benefit of owning private companies, such as Prime Motor Group, is that the investor gets to know with a great degree of certainty whether the team is strong. The conversations investors have with board members and with managers (who are typically also significant investors) are almost always honest. Negatives and positives are discussed candidly. Deliberations of difficult issues are frank. Privy to this dialogue, an investor can determine whether the managers are facile with both quantitative and qualitative analyses. In private